

decided to put my money into paper assets such as bonds. I also suggested that we sell our house and rent instead.

In these intense few days, I was convinced to buy gold because I heard it was going down, to sell gold because it was going up, to invest in a stock market poised for a 10 percent decline, to get out of a stock market poised for a 10 percent advance, to resist junk bonds due to their exceeding popularity, to buy Federal Express shares due to their recent unpopularity, to switch into European currencies because Europe was losing credibility, and especially to buy sugar, since I'd learned the price was collapsing.

Doing the opposite of what you really think is not easy. About a week after I'd congratulated myself on having stumbled onto the Contrarian approach to investing, I heard on the same FNN channel that Contrarianism was getting very popular. In fact, Contrarianism had become a preferred strategy with the general public. An advisor named Treadway came on the screen to announce that Contrarianism was so rampant that the true Contrarian was no longer a Contrarian. Mr. Treadway said he'd stopped being contrary himself just to avoid the Contrarianism of the crowd.

That meant that to be truly contrary, I'd have to contradict my Contrarianism—in other words, buy gold if I thought gold was going up or avoid bonds if I thought bonds were going down. By now, I was completely confused, and I hadn't bought a thing. Here I'd rejected financial planning in favor of my own research, and my own research had left me logically paralyzed. Meanwhile, the money was still sitting in the savings-and-loan, gathering its paltry interest. I decided that I needed help, and I could get it from a familiar source: the local stockbroker.